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ON Semiconductor Corp. | North America

Data center drives the momentum

Broadly in-line JunQ with slight SepQ beat, driven by AI data center strength. New design win announcements, book-to-bill sustaining well above 1, and improving customer ordering behavior support longer-term visibility.

Key Takeaways

- AI data center revenue guide revised upward to more than double y/y in 26 vs double prior (vs. our prior MSE at +118% y/y, new est at +126% y/y).
- Utilization uptick in JunQ from ~77% to 83% to support demand.
- Auto and industrial demand broadening, with lead times extending from ~27 to ~32 weeks as supply tightens across growth areas.

ON reported a broadly in-line JunQ and slight SepQ beat, primarily driven by AI data center demand. Consistent with peers, ON highlighted broadening industrial strength, continued data center momentum, and a steady, content-driven auto backdrop. Notably, volume was shifted from automotive customers to AIDC solutions, though this is expected to reverse in later quarters. Utilization ticked up to serve demand, with pricing actions to protect margin and surgical hotspot pricing, while customers ordering out into 2027-2028 to lock up supply bodes well for forward visibility.

What we learned from the call/callback/release:

- 1.) AI DC growth guided to >doubling vs. doubling prior.** While detailed color on 2Q AIDC was not given, the segment led the majority of "Other" growth in 2Q (+34% q/q), with "Other" guided to high-teens sequential growth q/q in 3Q, continuing to be led by AIDC. The DC guide was raised to more than double y/y vs double prior, and AIDC design win momentum was disclosed via AWS BBU & PSU support, with expansion of Nvidia MGX ecosystem support and continued engagements across all leading hyperscalers. SiC revenue in AI DC specifically expected to grow ~60% y/y in 2026.
- 2.) Reiterated sequential GM% expansion through end of CY26.** Utilization increased to 83% in 2Q from 77% in 1Q26, with mgmt reiterating the GM% framework of 25–30bps for every point of utilization. Given the 1–2 quarter trailing nature of benefit, visibility toward continued expansion is clear, with 3Q guided to 40–42% and further step-up expected in 4Q.
- 3.) Auto steady; industrial showing early recovery signals.** Auto was down 2% q/q, consistent with typical European seasonal patterns, and up 7% y/y. China auto was strong, with automotive SiC revenue expected to grow 60-70% y/y as share gains

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ON Semiconductor Corp. (ON.O, ON US)					
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Stock Rating	++				
Industry View	Attractive				
Price target	++				
Shr price, close (Jul 31, 2026)	\$81.61				
Mkt cap, curr (mm)	\$32,163				
52-Week Range	\$134.92-44.56				
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e	
EPS (\$) **	2.35	3.12	4.36	5.66	
Prior EPS (\$) **	-	-	-	-	
P/E	23.1	26.2	18.7	14.4	
EPS (\$) §	2.33	3.10	4.32	5.85	
Div yld (%)	0.0	0.0	0.0	0.0	

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates
++ = Stock Rating, Price Target or Estimates are not available or have been removed due to applicable law and/or Morgan Stanley policy.

QUARTERLY EPS (\$)					
Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.55	-	0.64a	-	0.93
Q2	0.53	-	0.72	-	1.01
Q3	0.63	-	0.84	-	1.19
Q4	0.64	-	0.93	-	1.24

e = Morgan Stanley Research estimates, a = Actual Company reported data

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continue across platforms. Industrial revenue of up 1% q/q and 4% y/y was driven by energy infrastructure, medical and factory automation, with mass market revenue up 20% sequentially - a positive leading indicator. ESS revenue, described as an "AI halo" beneficiary, was guided to grow ~40% y/y in 2026 driven by North America microgrid customers.

Exhibit 1: Revenue by End Market

	Actual	Estimate	% Difference	Q/Q	Y/Y
Autos	\$781	\$805	-3%	-2%	7%
Industrial	\$423	\$442	-4%	1%	4%
Other	\$400	\$344	16%	34%	21%
Total	\$1,604	\$1,592	1%	6%	9%

Source: Company Data, Morgan Stanley Research

Result Details:

- **Details on the June quarter:** ON reported revenue of \$1,604mn (up 6.0% q/q and 9.2% y/y), broadly in-line with Street/MSe at \$1,588mn/\$1,592mn. Non-GAAP GM of 39.3% was broadly in-line with Street/MSe at 39.0%/39.1%, similar to EPS of \$0.74 vs Street/MSe at \$0.71/\$0.72, respectively.
- **September quarter guide:** Revenue guidance of \$1,700mn at the midpoint was above Street/MSe at \$1,670mn/\$1,676mn. GM/EPS were guided to 41.0%/\$0.87 at the midpoint, above Street at 40.3%/\$0.83 and MSe at 40.4%/\$0.84.
- **Changes to our estimates.** Our estimates increase slightly, primarily reflecting improved 4Q visibility. Our 2026 revenue/non-GAAP GM/EPS estimates increase to \$6,566mn/40.3%/\$3.19 from \$6,472mn/40.1%/\$3.12. Our 2027 estimates increase to \$7,551mn/43.8%/\$4.42 from \$7,196mn/44.0%/\$4.36.

Morgan Stanley is acting as financial advisor to onsemi in connection with its definitive agreement to acquire Synaptics Incorporated ("Synaptics"), as announced on June 25, 2026. The proposed transaction is subject to approval by Synaptics' shareholders, receipt of required regulatory approval and other customary closing conditions. This report and the information provided herein is not intended to (i) provide voting advice, (ii) serve as an endorsement of the proposed transaction, or (iii) result in the procurement, withholding or revocation of a proxy or any other action by a security holder. Onsemi has agreed to pay fees to Morgan Stanley for its financial services. Please refer to the notes at the end of the report.

Financial Summary

Exhibit 2: Income Statement Summary

ON-US: Snapshot for the quarter ended June 2026

Income Statement								
Qtr Results:	Actual	Lst Qtr	QoQ	Lst Yr	YoY	Cons	Mse	
Revenue	\$1,604.0	\$1,513.3	6.0%	\$1,468.7	9.2%	\$1,588.4	\$1,591.6	
Gross Margin	39.3%	38.5%	76	37.6%	168	39.0%	39.1%	
EPS**	\$0.74	\$0.64	\$0.10	\$0.53	\$0.21	\$0.71	\$0.72	
Nxt Qtr Outlook:	Low	High	Midpoint					
Revenue	\$1,650.0	\$1,750.0	\$1,700.0	6.0%	\$1,550.9	9.6%	\$1,670.2	\$1,675.9
Gross Margin	40.0%	42.0%	41.0%	170	38.0%	302	40.3%	40.4%
EPS **	\$0.81	\$0.93	\$0.87	\$0.13	\$0.63	\$0.24	\$0.83	\$0.84

Source: Company Data, Morgan Stanley Research

Exhibit 3: Income Statement Variance

MW financials, \$ in Millions except per share			
	Reported 2026/2F	MS Est 2026/2F	Difference Act vs. Est.
Total Revenue	1,603.5	1,591.6	11.9
Cost of Sales	972.6	968.9	3.7
Gross Profit	630.9	622.6	8.3
Gross Margin	39.3%	39.1%	0.2%
R&D	140.8	145.3	(4.5)
SG&A	165.2	153.4	11.8
Other OpEx (Inc)	(9.2)	(3.0)	(6.2)
Total Op Expenses	296.8	295.7	1.1
Operating Income	334.1	326.9	7.2
Operating Margin	20.8%	20.5%	0.3%
Interest income	17.4	16.7	0.7
Interest expense	(13.7)	(12.2)	(1.5)
Other expense	8.6	1.5	7.1
Income Before	346.4	332.9	13.5
Tax Rate	15.0%	15.0%	0.0%
Income tax provision	51.9	49.9	2.0
Net Income	293.8	282.5	11.3
EPS	\$0.74	\$0.72	\$0.02
Diluted Shares Out.	397.0	394.0	3.0

Source: Company Data, Morgan Stanley Research

Projected Financial Statements

Exhibit 4: ON: Projected Income Statement

On Semiconductor Corporation GAAP Income Statement (\$ in millions; fiscal year ends in December)	C1Q24A	C2Q24A	C3Q24A	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E	C1Q27E	C2Q27E	C3Q27E	C4Q27E	C1Q28E	C2Q28E	C3Q28E	C4Q28E	2023FY	2024FY	2025FY	2026FY	2027FY
	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28					
Revenues	\$ 1,862.7	\$ 1,735.2	\$ 1,761.9	\$ 1,722.5	\$ 1,445.7	\$ 1,468.7	\$ 1,550.9	\$ 1,530.1	\$ 1,513.3	\$ 1,603.5	\$ 1,711.2	\$ 1,738.0	\$ 1,729.6	\$ 1,819.7	\$ 1,960.9	\$ 2,040.9	\$ 2,034.7	\$ 2,108.4	\$ 2,258.8	\$ 2,251.7	\$ 8,253.0	\$ 7,082.3	\$ 5,995.4	\$ 6,566.0	\$ 7,551.0
Q/Q Change	-7.7%	-6.8%	1.5%	-2.2%	-16.1%	1.6%	5.6%	-1.3%	-1.1%	6.0%	6.7%	1.6%	-0.5%	5.2%	7.8%	4.1%	-0.3%	3.6%	7.1%	-0.3%	-0.9%	-14.2%	-15.3%	9.5%	15.0%
Y/Y Change	-4.9%	-17.2%	-19.2%	-14.6%	-22.4%	-15.4%	-12.0%	-11.2%	4.7%	9.2%	10.3%	13.6%	14.3%	13.5%	14.6%	17.4%	17.6%	15.9%	15.2%	10.3%					
COGS	1,009.1	951.2	962.5	943.4	1,151.9	916.8	963.7	979.1	930.2	987.2	1,006.6	1,011.6	995.5	1,030.8	1,085.4	1,133.8	1,115.5	1,146.0	1,207.3	1,187.8	4,369.5	3,866.2	4,011.5	3,935.6	4,245.5
Amortization	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
One-time Items	1.5	1.6	1.6	1.6	284.7	0.6	1.8	33.9	0.2	14.6	-	-	-	-	-	-	-	-	-	-	(1.2)	6.3	321.0	14.8	-
COGS - MW	1,007.6	949.6	960.9	941.8	867.2	916.2	961.9	945.2	930.0	972.6	1,006.6	1,011.6	995.5	1,030.8	1,085.4	1,133.8	1,115.5	1,146.0	1,207.3	1,187.8	4,370.7	3,859.9	3,690.5	3,920.8	4,245.5
Gross Profit	853.6	784.0	799.4	779.1	293.8	551.9	587.2	551.0	583.1	616.3	704.6	726.4	734.1	788.9	875.5	907.1	919.2	962.4	1,051.5	1,064.0	3,883.5	3,216.1	1,983.9	2,630.4	3,305.5
Gross Margin	45.8%	45.2%	45.4%	45.2%	20.3%	37.6%	37.9%	36.0%	38.5%	38.4%	41.2%	41.8%	42.4%	43.4%	44.6%	44.4%	45.2%	45.6%	46.6%	47.3%	47.1%	45.4%	33.1%	40.1%	43.8%
Gross Profit - MW	855.1	785.6	801.0	780.7	578.5	552.5	589.0	584.9	583.3	630.9	704.6	726.4	734.1	788.9	875.5	907.1	919.2	962.4	1,051.5	1,064.0	3,883.3	3,222.4	2,304.9	2,645.2	3,305.5
Gross Margin - MW	45.9%	45.3%	45.5%	45.3%	40.0%	37.6%	38.0%	38.2%	38.5%	39.3%	41.2%	41.8%	42.4%	43.4%	44.6%	44.4%	45.2%	45.6%	46.6%	47.3%	47.0%	45.5%	38.4%	40.3%	43.8%
R&D	150.0	156.5	151.0	155.2	164.1	143.8	141.9	133.8	144.3	140.8	145.8	150.8	160.8	165.8	169.8	174.8	184.8	189.8	192.8	195.8	\$ 577.3	\$ 612.7	\$ 583.6	\$ 581.7	\$ 671.2
% of Revs.	8.1%	9.0%	8.6%	9.0%	11.4%	9.8%	9.1%	8.7%	9.5%	8.8%	8.5%	8.7%	9.3%	9.1%	8.7%	8.6%	9.1%	9.0%	8.5%	8.7%	7.0%	8.7%	9.7%	8.9%	8.9%
One-time Items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
R&D - MW	150.0	156.5	151.0	155.2	164.1	143.8	141.9	133.8	144.3	140.8	145.8	150.8	160.8	165.8	169.8	174.8	184.8	189.8	192.8	195.8	\$ 577.3	\$ 612.7	\$ 583.6	\$ 581.7	\$ 671.2
% of Revs.	8.1%	9.0%	8.6%	9.0%	11.4%	9.8%	9.1%	8.7%	9.5%	8.8%	8.5%	8.7%	9.3%	9.1%	8.7%	8.6%	9.1%	9.0%	8.5%	8.7%	7.0%	8.7%	9.7%	8.9%	8.9%
Selling and Marketing	69.1	68.6	65.4	70.4	68.3	63.3	62.8	61.5	63.0	63.3	67.3	68.3	70.3	72.3	76.3	81.3	83.3	85.3	88.3	91.3	\$ 279.1	\$ 273.5	\$ 255.9	\$ 261.9	\$ 300.2
% of Revs.	3.7%	4.0%	3.7%	4.1%	4.7%	4.3%	4.0%	4.0%	4.2%	3.9%	3.9%	3.9%	4.1%	4.0%	3.9%	4.0%	4.1%	4.0%	3.9%	4.1%	3.4%	3.9%	4.3%	4.0%	4.0%
One-time Items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Selling and Marketing - MW	69.1	68.6	65.4	70.4	68.3	63.3	62.8	61.5	63.0	63.3	67.3	68.3	70.3	72.3	76.3	81.3	83.3	85.3	88.3	91.3	279.1	273.5	255.9	261.9	300.2
% of Revs.	3.7%	4.0%	3.7%	4.1%	4.7%	4.3%	4.0%	4.0%	4.2%	3.9%	3.9%	3.9%	4.1%	4.0%	3.9%	4.0%	4.1%	4.0%	3.9%	4.1%	3.4%	3.9%	4.3%	4.0%	4.0%
G&A	95.3	85.0	95.5	100.5	84.4	91.2	87.3	86.0	89.4	101.9	106.9	107.9	109.9	111.9	115.9	120.9	122.9	124.9	129.9	134.9	\$ 362.4	\$ 376.3	\$ 348.9	\$ 406.1	\$ 458.6
% of Revs.	5.1%	4.9%	5.4%	5.8%	5.8%	6.2%	5.6%	5.6%	5.9%	6.4%	6.2%	6.2%	6.4%	6.1%	5.9%	5.9%	6.0%	5.9%	5.8%	6.0%	4.4%	5.3%	5.8%	6.2%	6.1%
One-time Items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
G&A - MW	95.3	85.0	95.5	100.5	84.4	91.2	87.3	86.0	89.4	101.9	106.9	107.9	109.9	111.9	115.9	120.9	122.9	124.9	129.9	134.9	362.4	376.3	348.9	406.1	458.6
% of Revs.	5.1%	4.9%	5.4%	5.8%	5.8%	6.2%	5.6%	5.6%	5.9%	6.4%	6.2%	6.2%	6.4%	6.1%	5.9%	5.9%	6.0%	5.9%	5.8%	6.0%	4.4%	5.3%	5.8%	6.2%	6.1%
Other OpEx	14.0	85.4	42.1	44.4	550.7	60.2	30.8	69.6	339.8	51.7	51.7	51.7	51.7	51.7	51.7	51.7	51.7	51.7	51.7	51.7	126.0	185.9	711.3	494.9	206.8
Other OpEx - MW	(0.1)	(1.7)	(7.4)	(4.8)	(2.3)	(0.6)	(0.8)	0.7	(3.0)	(9.2)	(9.2)	(9.2)	(9.2)	(9.2)	(9.2)	(9.2)	(9.2)	(9.2)	(9.2)	(9.2)	1.3	(14.0)	(3.0)	(30.6)	(36.8)
Operating Expenses	328.4	395.5	354.0	370.5	867.5	358.5	322.8	350.9	636.5	357.7	371.7	378.7	392.7	401.7	413.7	428.7	442.7	451.7	462.7	473.7	1,344.8	1,448.4	1,899.7	1,744.6	1,636.8
Operating Expenses - MW	314.3	308.4	304.5	321.3	314.5	297.7	291.2	282.0	293.7	296.8	310.8	317.8	331.8	340.8	352.8	367.8	381.8	390.8	401.8	412.8	1,220.1	1,248.5	1,185.4	1,219.1	1,393.2
% of Revenue	16.9%	17.8%	17.3%	18.7%	21.8%	20.3%	18.8%	18.4%	19.4%	18.5%	18.2%	18.3%	19.2%	18.7%	18.0%	18.0%	18.8%	18.5%	17.8%	18.3%	14.8%	17.6%	19.8%	18.6%	18.5%
Operating Income	525.2	388.5	445.4	408.6	(673.7)	193.4	264.4	200.1	(53.4)	258.6	332.9	347.7	341.4	387.2	461.8	478.4	476.5	510.7	588.8	590.3	2,535.7	1,837.4	1,761.7	84.2	1,668.7
Operating Margin %	28.2%	22.4%	25.3%	23.7%	-39.7%	13.2%	17.0%	13.1%	-3.5%	16.1%	19.5%	20.0%	19.7%	21.3%	23.5%	23.4%	23.4%	24.2%	26.1%	26.2%	30.8%	25.0%	1.4%	13.5%	22.1%
Operating Income - MW	540.8	477.2	496.5	459.4	264.0	254.8	297.8	302.9	289.6	334.1	393.8	408.6	402.3	448.1	522.7	539.3	537.4	571.6	649.7	651.2	2,662.2	1,973.9	1,119.5	1,426.1	1,912.3
Operating Margin MW%	29.0%	27.5%	28.2%	26.7%	18.3%	17.3%	19.2%	19.8%	19.1%	20.8%	23.0%	23.5%	23.3%	24.6%	26.7%	26.4%	26.4%	27.1%	28.8%	28.9%	32.3%	27.9%	18.7%	21.7%	25.3%
Total Interest Income (net) and Other Income	13.0	13.6	9.2	33.9	12.7	8.8	8.6	17.0	8.8	12.3	18.0	18.6	19.2	19.9	14.9	15.5	16.2	16.9	11.9	12.6	(2.9)	69.7	47.1	57.7	69.5
Other One-time Items	-	-	-	(12.2)	-	-	-	(12.9)	-	-	-	-	-	-	-	-	-	-	-	-	4.0	(12.2)	(12.9)	-	-
Total Interest Income (net) and Other Income - MW	13.0	13.6	9.2	21.7	12.7	8.8	8.6	4.1	8.8	12.3	18.0	18.6	19.2	19.9	14.9	15.5	16.2	16.9	11.9	12.6	15.1	57.5	34.2	57.7	69.5
PBT	538.2	402.1	454.6	442.5	(561.0)	202.2	273.0	217.1	(44.6)	270.9	350.9	366.2	360.6	407.1	476.7	493.9	492.6	527.6	600.7	602.8	2,535.8	1,837.4	1,313.1	943.5	1,738.3
PBT - MW	553.8	490.8	505.7	481.1	276.7	263.6	306.4	307.0	298.4	346.4	411.8	427.1	421.5	468.0	537.6	554.8	553.5	588.5	661.6	663.7	2,677.3	2,031.4	1,153.7	1,483.8	1,981.9
Income Tax Expense (Benefit)	84.5	63.7	51.9	62.7	(75.8)	30.5	17.7	35.3	(11.7)	43.4	52.6	54.9	54.1	61.1	71.5	74.1	73.9	79.1	90.1	90.4	350.2	262.8	7.7	139.3	260.7
Effective tax rate	15.7%	15.8%	11.4%	14.2%	13.5%	15.1%	6.5%	16.3%	26.2%	16.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	13.8%	14.3%	5.9%	14.8%	15.0%
Taxes-Extraordinary	(4.1)	(14.8)	(29.0)	(14.3)	(120.0)	(10.4)	(32.1)	(14.5)	(56.5)	(8.5)	(9.1)	(9.1)	(9.1)	(9.1)	(9.1)	(9.1)	(9.1)	(9.1)	(9.1)	(9.1)	(71.9)	(62.2)	(177.0)	(83.3)	(36.5)
Income Tax Expense (Benefit) - MW	88.6	78.5	80.9	77.0	44.2	40.9	49.8	49.8	44.6	51.9	61.8	64.1	63.2	70.2	80.6	83.2	83.0	88.3	99.2	99.6	422.1	325.0	184.7	222.5	297.3
Effective tax rate MW	16.0%	16.0%	16.0%	16.0%	16.0%	15.5%	16.3%	16.2%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.8%	16.0%	16.0%	15.0%	15.0%
Net Income	453.7	338.4	402.7	379.8	(485.2)	171.7	258.3	181.8	(32.9)	227.5	298.3	311.3	306.5	346.0	405.2	419.8	418.7	448.4	510.6	512.4	2,185.6	1,574.6	1,233.6	804.2	1,477.5
Net Income Margin	24.4%	19.5%	22.9%	22.0%	-33.6%	11.7%	16.5%	11.9%	-2.2%	14.2%	17.4%	17.9%	17.7%	19.0%	20.7%	20.6%	20.6%	21.3%	22.6%	22.8%	26.5%	22.2%	2.1%	12.2%	19.6%
Extraordinary Items, net of tax	11.5	73.9	22.1	24.3	717.7	51.0	1.3	75.4	286.5	67.0	51.8	51.8	51.8	51.8	51.8	51.8	51.8	51.8	51.8	51.8	68.9	131.8	845.4	457.0	207.1
Net income attributable to non-controlling interest	(0.7)	(0.2)	(1.0)	0.1	(0.9)	(1.4)	(0.3)	-	(0.5)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(1.9)	(1.8)	(2.6)	(2.6)	(2.8)
Net Income - MW	464.5	412.1	423.8	404.2	231.6	221.3	256.3	257.2	253.1	2															

Base Case																					
On Semiconductor Corporation Balance Sheet	C1Q24A	C2Q24A	C3Q24A	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E	C1Q27E	C2Q27E	C3Q27E	C4Q27E					
(\$ in millions; fiscal year ends in December)	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27					
	2024/1F	2024/2F	2024/3F	2024/4F	2025/1F	2025/2F	2025/3F	2025/4F	2026/1F	2026/2F	2026/3F	2026/4F	2027/1F	2027/2F	2027/3F	2027/4F	2023FY	2024FY	2025FY	2026FY	2027FY
Assets																					
Cash and cash equivalents	\$ 2,614.4	\$ 2,231.0	\$ 2,470.2	\$ 2,691.3	\$ 2,762.5	\$ 2,526.7	\$ 2,472.5	\$ 2,147.6	\$ 2,003.6	\$ 3,514.5	\$ 3,523.5	\$ 3,544.6	\$ 3,570.4	\$ 2,782.5	\$ 2,798.6	\$ 2,818.6	\$ 2,483.0	\$ 2,691.3	\$ 2,147.6	\$ 3,544.6	\$ 2,818.6
Short-term investments	-	450.0	300.0	300.0	250.0	300.0	400.0	400.0	400.0	350.0	350.0	350.0	350.0	350.0	350.0	350.0	-	300.0	400.0	350.0	350.0
Receivables, net	873.3	887.2	1,070.6	1,160.1	825.0	927.0	1,045.1	908.0	862.8	897.2	1,062.1	1,057.0	1,057.0	1,112.1	1,198.3	1,247.2	935.4	1,160.1	908.0	1,062.1	1,247.2
Inventories	2,147.1	2,224.6	2,242.8	2,242.0	2,078.2	2,087.1	2,047.9	1,989.6	2,049.2	2,047.5	2,142.6	2,153.4	2,096.9	2,148.4	2,237.9	2,312.5	2,111.8	2,242.0	1,989.6	2,153.4	2,312.5
Other current assets	514.1	532.2	461.1	358.6	410.8	510.6	467.2	377.9	460.0	472.6	504.3	512.2	509.8	536.3	577.9	601.5	382.1	358.6	377.9	512.2	601.5
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Assets	6,148.9	6,325.0	6,544.7	6,752.0	6,326.5	6,351.4	6,331.0	5,823.1	5,775.6	7,281.8	7,566.2	7,622.3	7,584.0	6,929.3	7,162.7	7,329.8	5,912.3	6,752.0	5,823.1	7,622.3	7,329.8
Property and equipment, net	4,384.3	4,372.5	4,383.7	4,361.4	3,840.5	3,714.9	3,550.6	3,369.0	3,035.6	2,924.9	2,834.2	2,743.6	2,686.1	2,631.8	2,583.1	2,537.0	4,401.5	4,361.4	3,369.0	2,743.6	2,537.0
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill	1,577.6	1,577.6	1,587.9	1,587.9	1,641.6	1,641.6	1,641.6	1,679.9	1,679.9	1,687.6	1,687.6	1,687.6	1,687.6	1,687.6	1,687.6	1,687.6	1,577.6	1,587.9	1,679.9	1,687.6	1,687.6
Intangible assets, net	289.4	275.0	273.1	257.9	309.2	296.9	289.5	343.9	332.2	329.4	318.9	308.4	297.9	287.4	276.9	266.4	299.3	257.9	343.9	308.4	266.4
Other long-term assets	1,082.7	1,108.7	1,134.2	1,130.6	1,136.1	1,121.4	1,197.5	1,308.2	1,187.5	1,261.4	1,261.4	1,261.4	1,261.4	1,261.4	1,261.4	1,261.4	1,024.5	1,130.6	1,308.2	1,261.4	1,261.4
Total Assets	13,482.9	13,658.8	13,923.6	14,089.8	13,253.9	13,126.2	13,010.2	12,524.1	12,010.8	13,485.1	13,668.3	13,623.3	13,516.9	12,797.5	12,971.7	13,082.2	13,215.2	14,089.8	12,524.1	13,623.3	13,082.2
Liabilities & Shareholders' Equity																					
Accounts payable	665.8	617.7	597.5	574.5	496.6	474.3	479.1	572.3	486.1	498.3	515.7	518.3	553.1</								

MORGAN STANLEY RESEARCH

Base Case																					
On Semiconductor Corporation Statement of Cash Flows (\$ in millions; fiscal year ends in December)	C1Q24A	C2Q24A	C3Q24A	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E	C1Q27E	C2Q27E	C3Q27E	C4Q27E	2023FY	2024FY	2025FY	2026FYE	2027FYE
	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27					
	20241F	20242F	20243F	20244F	20251F	20252F	20253F	20254F	20261F	20262F	20263F	20264F	20271F	20272F	20273F	20274F					
Cash flows provided by (used for) operating activities:																					
Net income	\$ 453.7	\$ 398.4	\$ 402.7	\$ 379.8	\$ (485.2)	\$ 171.7	\$ 255.3	\$ 181.8	\$ (32.9)	\$ 227.5	\$ 298.3	\$ 311.3	\$ 306.5	\$ 346.0	\$ 405.2	\$ 419.8	\$ 2,185.6	\$ 1,574.6	\$ 123.6	\$ 804.2	\$ 1,477.5
Adjustments to reconcile net income to net cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Depreciation	154.9	159.6	161.8	166.6	168.2	156.4	146.5	214.9	286.7	141.3	142.0	142.8	144.0	145.3	146.7	148.1	609.5	642.9	686.0	712.8	584.1
Amortization	-	-	-	-	-	-	-	-	-	-	10.5	10.5	10.5	10.5	10.5	10.5	-	-	-	21.0	42.0
Gain/(Loss) on sale or disposal of fixed assets	0.1	0.9	4.1	0.4	-	(5.8)	(1.3)	7.9	(1.1)	(0.3)	-	-	-	-	-	-	11.6	5.5	0.8	(1.4)	-
Non-cash manufacturing expenses associated with favorable contracts	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss on debt repurchase or exchange	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	13.3	-	-	-	-
Gain on acquisition of SANYO Semiconductor	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Amortization of debt issuance costs	2.7	2.9	3.6	1.9	2.9	2.8	2.9	2.8	2.9	3.8	-	-	-	-	-	-	11.3	11.1	11.4	6.7	-
Provision for excess inventories	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash share-based compensation expense	33.0	32.3	32.7	38.1	33.9	34.4	38.2	37.8	37.3	37.4	39.4	41.4	42.4	42.9	43.9	44.4	121.1	136.1	144.3	155.5	173.6
Non-cash interest on convertible notes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash asset impairment charges	-	15.7	-	22.1	431.5	40.6	15.8	8.1	147.0	16.3	-	-	-	-	-	-	19.5	37.8	496.0	163.3	-
Non-cash goodwill and intangible asset impairment charges	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Recovery from insurance proceeds on property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash portion of insurance recovery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	(48.6)	(27.9)	(45.6)	(7.5)	(13.7)	(18.5)	(80.9)	(80.6)	2.7	(12.8)	-	-	-	-	-	-	(127.7)	(129.6)	(193.7)	(10.1)	-
Other	1.8	3.5	1.7	3.0	1.8	2.5	(3.1)	(2.8)	(2.2)	1.9	-	-	-	-	-	-	(4.0)	10.0	(1.6)	(0.3)	-
Changes in current assets and liabilities:	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Receivables	55.0	(19.1)	(183.4)	(96.8)	334.1	(148.2)	(16.4)	(6.0)	26.2	(37.4)	(148.5)	(16.4)	5.2	(55.1)	(86.2)	(48.9)	(112.8)	(244.3)	163.5	(176.1)	(185.1)
Inventories	(35.7)	(77.7)	(18.2)	2.0	184.6	(8.9)	39.2	58.5	(59.8)	1.7	(95.1)	(10.8)	56.5	(51.6)	(89.5)	(74.6)	(495.2)	(129.6)	273.4	(164.0)	(159.2)
Other assets	(88.2)	(11.0)	71.1	135.1	(36.8)	(67.4)	43.4														

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Global Stock Ratings Distribution

(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

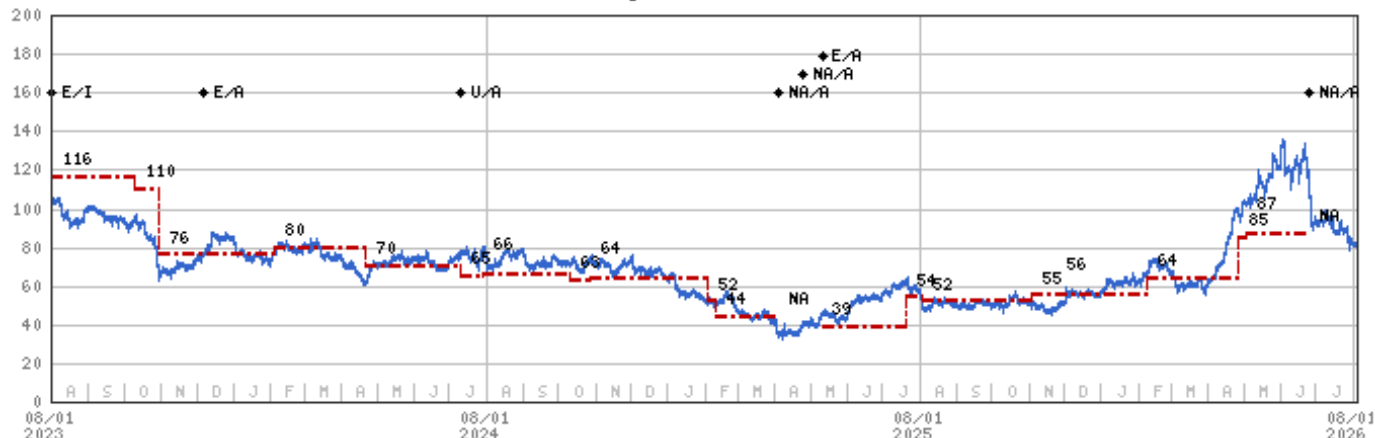
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

ON Semiconductor Corp. (ON.O) - As of 08/04/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 8/1/21 : U/I; 8/3/21 : E/I; 12/7/23 : E/A; 7/10/24 : U/A; 4/4/25 : NA/A; 4/25/25 : NA/A; 5/11/25 : E/A; 6/25/26 : NA/A

Price Target History: 5/4/21 : 32; 8/3/21 : 42; 11/1/21 : 58; 12/14/21 : 62; 2/7/22 : 68; 5/1/22 : 60; 6/9/22 : 56; 8/1/22 : 65; 10/31/22 : 70.4; 2/6/23 : 89; 7/31/23 : 116; 10/10/23 : 110; 10/30/23 : 76; 2/5/24 : 80; 4/21/24 : 70; 7/10/24 : 65; 7/29/24 : 66; 10/10/24 : 63; 10/28/24 : 64; 2/3/25 : 52; 2/10/25 : 44; 4/4/25 : NA; 5/11/25 : 39; 7/21/25 : 54; 8/4/25 : 52; 11/3/25 : 55; 11/24/25 : 56; 2/9/26 : 64; 4/27/26 : 85; 5/4/26 : 87; 6/25/26 : NA

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/03/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$484.64
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$18.41
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$41.52
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$82.68
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$50.84
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$361.88
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$321.05
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$392.23
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$219.97
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$50.01
Intel Corporation (INTC.O)	E (02/22/2023)	\$91.00
IonQ Inc (IONQ.N)	E (04/25/2023)	\$38.85
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$193.78
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$75.22
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$829.50
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$11.52
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$206.64
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$224.17
ON Semiconductor Corp. (ON.O)	++	\$80.40
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$89.49
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$151.57
Quantinuum (QNT.O)	E (06/29/2026)	\$55.65
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,288.03
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$119.08
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$218.00
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$61.29
Texas Instruments (TXN.O)	U (04/13/2020)	\$269.04

Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$24.35
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$239.06
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$336.15
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$392.07

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* Historical prices are not split adjusted.